

Managing Director,

Here are my takeaways from my work with IP's data.

When it comes to the growth of the company it seems that almost all of IP's growth can be attributed to new Customers.

I focused on four different variables. Churned customers, New customers, Upsell, and Downsell.

For one, IP is upselling some of its customers, but it is down selling much more than it is upselling. If we were just looking at upselling and new customers as growth factors that would mean that we would attribute 100% of IP's growth to its new customers.

To further support this point it seems that churn has been increasing over the past few years.

Combining this with the fact that we know IP's customer base is steadily growing means that IP has been successful in attracting a large and increasing number of customers each year to offset their losses to churn.

It is also important to note that we may generally expect churn to increase as a result of companies growing over time.

I apologize, but I did not have enough time to look over the trends for particular customer segments. I will get that info to you as soon as possible.

Based on the analysis I was able to do however I do have some follow-up questions.

Why is IP unable to maintain its customer base? Are they being drawn away by competitors?
What is the churn rate like for IP's competitors?

How big is the market? Can we expect that IP can continue to offset its churn losses by acquiring new customers?

Thanks for taking the time to review my work.

Hope to hear from you soon,
Siddharth